

Track Record Is Everything

Warren E. Buffett

I've often felt there might be more to be gained by studying business failures than business successes. In my business, we try to study where people go astray, and why things don't work. We try to avoid mistakes. If my job was to pick a group of 10 stocks in the Dow Jones average that would outperform the average itself, I would probably not start by trying to pick the 10 best. Instead, I would try to pick the 10 or 15 worst performers and take them out of the sample, and work with the residual. It's an inversion process. Albert Einstein said, "Invert, always invert, in mathematics and physics," and it's a very good idea in business, too. Start out with failure, and then engineer its removal.

Unfortunately . . . what happens in business and investments [is that] people know better, but when they hear a rumor—particularly when they hear it from a high place—they just can't resist the temptation to go along.

In Berkshire Hathaway Inc.'s 1989 annual report, I wrote about something I called the "institutional impera-